

**THE MAHARASHTRA REAL ESTATE REGULATORY AUTHORITY
MUMBAI.**

COMPLAINT NO: CC006000000120965.

Vivek V. Shinde
Yojana V. Shinde

... Complainants.

Versus

Nirmal Lifestyle Limited.

...Respondent.

MahaRERA Regn: P51800006693.

Coram: Shri B.D. Kapadnis,
Member-II.

Appearance:

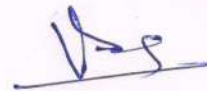
Complainants: Adv. Mr. Anil D' Souza.

Respondents: Adv. Mr. Dandekar a/w
Ms. Vaishali Mohite.

FINAL ORDER

17th December, 2020

The complainants contend that they have booked flat no. 501 in the A wing of the respondent's registered project 'Nirmal Lifestyle- Blu Diamond - One Edition' situated at Kurla. The respondent executed the agreement for sale in complainants' favour on 05.03.2003 but did not mention the date of possession in it. However, in a letter addressed to the bank the respondent has mentioned that it would hand over the possession of the flat in March 2006. The complainants therefore, contend that they are entitled to get the interest under section 18 of the RERA on the investment made by them till getting the possession of the flat and they request for



possession of the flat. The complainants contend that they have paid the entire consideration of Rs. 28,17,900/-

2. The respondent pleads not guilty. It has filed the reply to contend that it acquired first commencement certificate for making the construction of the project on 31.08.2002. The Revenue and Forest Department of Government of Maharashtra issued the circulars dated 16.12.2004 and 14.07.2005 by virtue of which the project land was declared as 'private forest' since the year 2006 and therefore, construction activities were stopped until the Hon'ble Supreme Court passed the judgement on 30.01.2014 in Civil Appeal no. 1102 of 2014 Godrej & Boyce Manufacturing Company Limited V/s. State of Maharashtra, in which the respondent's Civil Appeal no. 1104 of 2014 was tagged. Thereafter, the entry of the forest land was deleted from the revenue record of project land. In this situation the construction activities were stopped from 2006 due to stop work notice. Thereafter, in the month of March 2020 nation-wide lockdown was declared on account of Covid-19 pandemic. This caused massive shortage of labour and building material and therefore, the work could not be restarted from August 2020. Hence, the respondent contends that it was prevented by sufficient causes beyond its control from completing the project as per timeline. The respondent contends that the project would be completed by December 2021. Hence, it requests to dismiss the complaint.

3. Heard the learned advocates of the parties.

4. There is no dispute on the point that the respondent has not mentioned the date of possession in the agreement. The agreement has been executed under Maharashtra Ownership of Flats Act and its section 4(1A) (a)(ii) lays down that, the agreement shall contain the date by which the possession of the flat is to be handed over to the purchaser. Section



13(2) of the RERA also makes it obligatory to mention the date of possession in the agreement for sale. It appears that, despite these express provisions the respondent has not mentioned the date of possession in the agreements executed in favour of the complainants. The respondent has not taken the care even after coming into RERA in force to rectify the agreement to mention the agreed date of possession. Therefore, I find that the respondent has violated the provisions of section 13(2) of the RERA. The agreement for sale has been executed on 05.03.2003. Hon'ble Supreme Court has held in Fortune Infrastructure V/s. Trivor D'lima (2018) 5 SCS 442 that when date of possession is not mentioned in the agreement, the reasonable period of possession is only three years. As the respondent has failed to mention the date of possession in it despite the statutory obligation as discussed above, I find that the complainants were entitled to get the possession of the flat within three years from the said agreement. Therefore, I find that, the respondent was liable to handover the possession of the flats by 05.03.2006 and I record my finding to this effect.

5. Section 18 of the RERA provides that if the promoter fails to handover the possession of the flat or to complete it as specified in the agreement on the date of possession mentioned in the agreement, then the allottee is entitled to claim interest on his investment for delayed possession until the possession is handed over. The respondent was liable to handover the possession of the flats by 05.03.2006. This date cannot be extended beyond six months as per section 8(b) of MOFA even for the reasons delaying completion of the project were beyond respondent's control. Therefore, the liability to pay interest starts from 05.09.2006. In view of this situation, I find that the complainants are entitled to get simple interest at prescribed rate from 05.09.2006 on the amount of consideration paid by them till that date and on the consideration paid subsequently, the



respondent shall pay the interest from the dates of their payment till handing over possession of the flat along with agreed amenities with occupation/completion certificate. The prescribed rate of interest is 2% above SBI's highest MCLR which is currently 7% p.a. I find that, the complainants are also entitled to get Rs. 20,000/- towards the cost of the complaint.

6. The respondent is liable to handover the possession of the flat along with all the agreed amenities and with occupancy certificate at the earliest but not later than December 2021 as declared by it. Hence, the following order.

ORDER

- A. The respondent shall pay simple interest at the rate of 9% p.a. on the amount of consideration of the flat paid by the complainants on or before 05.09.2006, from that date and on the amount of consideration paid subsequently from the dates of their payment till handing over the possession of the complainants' flat with all agreed amenities and occupancy certificate.
- B. The respondent shall also pay Rs. 20,000/- to the complainants towards the cost of the complaint.
- C. The respondent shall handover the possession of the complainants' flat with all agreed amenities and completion/occupancy certificate at the earliest but not later than December 2021.
- D. Parties are allowed to adjust their claims and pay the balance to whom it is due.

Date: 17.12.2020.


17.12.2020
(B. D. Kapadnis)
Member-II,
MahaRERA, Mumbai.